

Rakesh Kumar v. State of U.P.

Allahabad High Court · Division Bench · 12 September 2014 · WRIT - C No. 45533 of 2014 · **Writ allowed; demand notice quashed; fresh provisional assessment directed.**

HEADNOTE

A theft assessment treated as final, and a demand issued under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, cannot stand where the provisional assessment was sent by ordinary post and there is no record of actual service. The High Court quashed the demand and directed a fresh provisional assessment, service, fifteen days to object, a hearing, and a reasoned final order under the Electricity Supply Code, 2005 as considered in Ashok Kumar.

FACTUAL SUMMARY

A surprise raid at the petitioner's tube-well found a flour-mill being run on that connection. The licensee treated it as theft, lodged an FIR, raised a provisional assessment, and, for want of objection, treated it as final. A demand of Rs.3,87,115 followed under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958. The petitioner said the provisional assessment was never served. Counsel for the corporation, on instructions, accepted that the notice had gone by ordinary post and that there was no record of actual service.

REUSABLE CONSTRUCTIONS

1. A demand founded on a theft assessment cannot stand where the provisional assessment was sent by ordinary post and there is no record of actual service on the consumer; the consumer is thereby denied the opportunity to object. ¶ [unnumbered](#)
2. On quashing such a demand, the licensee must issue a fresh provisional assessment, serve it, allow fifteen days to object, fix a date and time for hearing, and pass a reasoned final assessment after considering any objection, following the Supply Code, 2005 theft-assessment procedure considered in Ashok Kumar. ¶ [unnumbered](#)

HOLDING-UNITS

HOLDING-UNIT · UP-2005::theft-assessment

service of provisional assessment in theft cases

HOLDING

Where a surprise-raided theft assessment was treated as final for want of objection and a demand issued under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, but the provisional assessment had been sent only by ordinary post with no record of actual service, the consumer was denied the opportunity to object. The demand notice dated 17.6.2014 is quashed. Respondents must issue a fresh provisional assessment, serve it, give fifteen days to file objection, fix a date and time for hearing, and then pass a reasoned final assessment after considering any objection, in light of the Supply Code, 2005 theft-assessment procedure considered in Ashok Kumar (paras 56–64). ¶ [unnumbered](#)

PRINCIPLE TAGS

recovery-must-rest-on-final-assessment-order

A theft assessment treated as final, and a demand issued under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, cannot stand where the provisional assessment was sent by ordinary post and there is no record of actual service.. ¶ [unnumbered](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE THEFT FINDING AND THE QUANTUM OF RS.3,87,115

The Court remitted the matter for a fresh provisional assessment, objection, hearing and reasoned final order; it did not try whether theft occurred or what amount was due. ¶ [unnumbered](#)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar v. State of U.P.</i> 2008 (6) ADJ 660 (DB)			unnumbered	Referred

SCJ-1236 · Rakesh Kumar v. State of U.P. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.